

Quiz 3

Course: Principles of Economics

Course Code: ECO 201

Total points: 10

Weightage towards final grade: 10%

Date: 2/04/2026

Time: 6:10 PM - 6:30 PM

Name: _____ Roll No. _____

1. Circle the right answer. If the right answer is (A), write it as such (A)
2. No negative marking. Right answer 1 mark, unless mentioned otherwise.

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1. What best describes the reason that there may be problems in measuring cost of living needed to calculate inflation?

(A) Future bias (B) Present bias (C) Personal preference

(D) Substitution bias

Answer. (D) Substitution bias

2. In the model discussed in class, in the short run, when discussing foreign exchange market, we consider supply of domestic (could be rupee, dollar etc.) assets in relation to exchange rates to be

(A) Perfectly Elastic (B) Perfectly inelastic (C) Inelastic but not perfectly

(D) Elastic but not perfectly.

Answer. Perfectly inelastic

3. Increased demand for a country's exports causes its currency to appreciate in the **Long Run** (Some people were asking for a clarification here. I am not sure what it was. But you may ask me in class)
4. True or False: When the coupon bond is priced at its face value, the yield to maturity equals the Coupon Rate **True**
5. Consider a 3 year discount bond with face value $F = 16$, price $P = 2$ and YTM i . What is the YTM? **1 or 100% (cannot be 1% or 100)** (2 marks)
6. Other things held constant, increasing a country's trade barriers causes its currency to _____ in the _____
- (A) Appreciate in the long run (B) Appreciate in the short run
(C) Depreciate in the short run (D) Depreciate in the long run
- Answer.* (A) Appreciate in the long run.
7. The natural rate of unemployment excludes which type of unemployment?
- (A) Frictional (B) Structural (C) Cyclical (D) NOTA
- Answer.* (C) Cyclical
8. In theory, LinkedIn is most effective at reducing which type of unemployment?
- (A) Frictional (B) Structural (C) Cyclical (D) All of the above
- Answer.* Frictional
9. If, instead of $Y = aL^\alpha K^\beta$, we used $Y = a(L^\alpha + K^\beta)$ as the production function, it would imply that (most correct answer only, assume $\alpha + \beta = 1$, both are positive)
- (A) There would be no substitutability between K and L

(B) They would be completely interchangeable

(C) Production could be positive even if one were 0 (D) All of the above

Answer. (C). This is the main feature of this production function that makes it strange

Clarifications (Does not apply if correct answer is definite from the question).
